

NVIDIA Corporation - BUY

NASDAQ: NVDA



Business Description

Company Overview

NVIDIA designs and sells graphics processing units (GPUs) and AI computing platforms. The company operates on a fabless model, meaning it designs its chips but outsources manufacturing to third parties, namely TSMC and Samsung, keeping costs flexible and capital requirements low. NVIDIA's main revenue comes through hardware sales, networking equipment, and software subscriptions sold directly to large technology companies and governments. As of FY2026, NVIDIA carries \$8.5 billion in long-term debt against \$65.7 billion in shareholders' equity, resulting in a debt-to-equity ratio of 0.13x. The company also holds a net cash position of \$26.4 billion, reflecting a conservatively leveraged balance sheet with significant financial flexibility (NVIDIA, FY2026 10-K).

Main Revenue Streams

NVIDIA generates revenue across four segments:

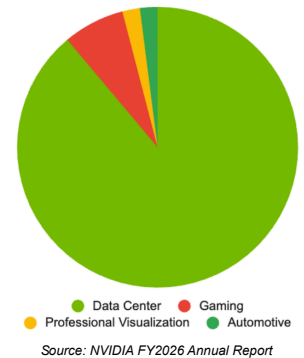
- Data Center (88%):** GPUs, networking, and software sold to cloud providers and enterprises for AI training and inference.
- Gaming (7%):** Consumer graphics cards under the GeForce RTX product line.
- Professional Visualization (2%):** High-performance graphics tools for engineers, architects, and designers.
- Automotive (2%):** The NVIDIA DRIVE platform for autonomous vehicle and in-vehicle AI systems.

Target Market & Main Customer Segments

NVIDIA serves three main customer groups. Cloud service providers including AWS, Microsoft Azure and Google Cloud are its largest customers, as they purchase GPUs in bulk to build their AI data centers. Sovereign governments across Japan, Saudi Arabia, and Europe represent a growing segment, investing in national AI infrastructure.

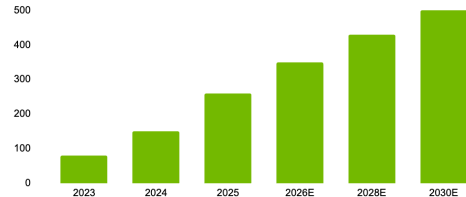
Recommendation	BUY
Current Price (Apr 5, 2026)	\$176.70
Price Target	\$235.19
Implied Upside	33.2%

FY2026 Revenue Segments



Industry Overview

AI Accelerator Market Size (\$B)



Global AI Semiconductor Industry & Market Size

NVIDIA operates in the global AI accelerated computing market, valued at approximately \$150 billion in 2024 and projected to exceed \$500 billion by 2030 at a 22% CAGR (IDC, 2024), driven by rising demand for large language model training, AI inference, and agentic AI systems. The market is highly concentrated, with NVIDIA holding an estimated 80% share of AI accelerators (NVIDIA Investor Relations, 2026). Key industry trends include increasing regulatory scrutiny around AI chip exports, a shift toward inference-optimized hardware, and increasing competition from large technology companies developing their own chips internally.

Competitor Landscape

Company	Ticker	Market Cap	AI Market Share
NVIDIA	NASDAQ: NVDA	\$4310B	80%
AMD	NASDAQ: AMD	\$178B	8%
Intel	NASDAQ: INTC	\$90B	1%
Hyperscalers	-	-	6%



Competitive Landscape

Competition comes from both traditional manufacturers and technology companies developing in-house chips.

- Advanced Micro Devices (AMD):** Competes directly in AI GPUs with its MI300X series, with a market cap of approximately \$178 billion. AMD holds less than 10% of AI training workload share.
- Intel Corporation:** Competes through its Gaudi accelerator lineup targeting cost-sensitive enterprise workloads, with a market cap of approximately \$90 billion and has struggled within high-performance AI
- Hyperscaler In-House Chips** (Amazon, Google, Microsoft): Develop proprietary accelerators for internal use only, leaving NVIDIA's enterprise and third-party cloud market largely unaffected.

Competitive Advantage

NVIDIA's primary differentiation is its proprietary software platform, Compute Unified Device Architecture (CUDA), which has been developed over 15 years and is deeply integrated across the main AI frameworks used by companies. As the first mover in GPU computing, NVIDIA built a developer ecosystem of over 4 million active users that competitors are still working to match (NVIDIA Investor Relations, 2026). Switching away from CUDA is costly, as companies would need to rebuild and retest their entire AI systems from scratch on a competing platform, creating strong customer retention. NVIDIA further differentiates through a full-stack platform model, bundling its hardware with high-speed networking, systems, and enterprise software into complete AI infrastructure solutions rather than selling individual chips (NVIDIA, FY2026 10-K). This allows NVIDIA to capture value across the entire AI data center stack, supporting stronger pricing power and gross margins compared to hardware-only competitors.

Company Performance vs. Macroeconomic Environment

NVIDIA's performance has remained strong despite broader macroeconomic challenges, as its revenue is driven by AI infrastructure spending from large technology companies rather than general consumer demand. With North American GDP growth slowing to approximately 2.0 to 2.5% and interest rates remaining elevated, NVIDIA's revenue still grew 65% in FY2026 (NVIDIA, FY2026 10-K). The top five hyperscalers are projected to spend \$602 billion on AI infrastructure in 2026, up 36% year-over-year, with Goldman Sachs projecting cumulative spending to reach \$1.15 trillion from 2025 to 2027 (CreditSights, 2025; Morningstar, 2025). As inflation has slowed from its post-pandemic peak, input costs across NVIDIA's supply chain have stabilized, making it easier for the company to maintain and forecast its profit margins entering FY2027.



The primary macro risk is U.S. trade policy: export restrictions on NVIDIA's H20 chips to China in Q1 FY2026 resulted in a \$4.5 billion inventory charge, though the Trump administration subsequently reopened limited access for H200 chips subject to a 25% tariff (NVIDIA, 2025; EE Times, 2026).

Financial Performance

NVIDIA has delivered strong revenue growth over the three fiscal years ending January 2026, growing from \$60.9 billion in FY2024 to \$130.5 billion in FY2025, a 122% increase, and a further 65% to \$215.9 billion in FY2026, driven primarily by Data Center AI infrastructure demand (NVIDIA, FY2026 10-K). This growth reflects both the initial AI infrastructure buildout and the subsequent acceleration driven by the Blackwell architecture launch in 2025.

Profitability has remained strong throughout. Gross margins have held consistently above 70%, reflecting NVIDIA's pricing power and the high software content of its platform. EBITDA margins expanded from 57.8% in FY2024 to 65.0% in FY2025, before contracting slightly to 61.7% in FY2026 due to a one-time \$4.5 billion H2O inventory charge and costs associated with transitioning to the Blackwell architecture. Net income grew from \$29.8 billion in FY2024 to \$113.0 billion in FY2026 (NVIDIA, FY2026 10-K).

NVIDIA's capital structure has strengthened over the period. Long-term debt has remained stable at approximately \$8.5 billion while total equity expanded from \$43.0 billion to \$65.7 billion, driving the debt-to-equity ratio down from 0.20x to 0.13x. On a debt-to-value basis, leverage has declined from approximately 16.5% in FY2024 to 11.5% in FY2026, reflecting the significant expansion of equity relative to debt over the period. Net cash grew from \$7.6 billion to \$26.4 billion, providing flexibility for continued R&D investment and shareholder returns (NVIDIA, FY2026 10-K).

Relative Valuation vs. Peers

AMD (NASDAQ: AMD) is the most direct comparison, selling AI GPUs to the same cloud provider customers as NVIDIA, with annual revenue of approximately \$25 billion and a market cap of approximately \$178 billion. Broadcom (NASDAQ: AVGO) designs custom AI chips and networking equipment for large technology companies including Google and Meta, with annual revenue of approximately \$51 billion and a market cap of approximately \$848 billion. Although Broadcom does not directly compete with NVIDIA, its high-margin chip business and significant AI revenue make it a relevant comparison. TSMC (NYSE: TSM) manufactures NVIDIA's chips, meaning its business performance is directly tied to how much AI chip demand exists, with annual revenue of approximately \$90 billion and a market cap of approximately \$798 billion (Yahoo Finance, 2026).

Company	Ticker	Market Cap	Revenue	EV/EBITDA
AMD	NASDAQ: AMD	\$178B	\$25B	19.4x
Broadcom	NASDAQ: AVGO	\$848B	\$51B	22.1x
TSMC	NYSE: TSM	\$798B	\$90B	12.8x
NVIDIA	NASDAQ: NVDA	\$4310B	\$215.9B	27.6x

Peer Analysis Results

NVIDIA currently trades at an EV/EBITDA multiple of 27.6x, compared to a peer group mean of 18.1x. Applying the peer mean directly gives an implied stock price of approximately \$116, which we do not consider accurate because it assumes all companies are growing at a similar rate. NVIDIA grew revenue 65% in FY2026 compared to a peer group average of approximately 18%, and a faster-growing company should reasonably trade at a higher multiple (NVIDIA, FY2026 10-K). We therefore apply a 1.75x growth premium to the peer mean, giving an adjusted multiple of 31.7x. Based on NVIDIA's FY2026 EBITDA of \$133.2B and continued revenue growth, we estimate NTM EBITDA of approximately \$155.0B for FY2027. Applied to our adjusted multiple of 31.7x, this gives an enterprise value of \$4,909.6 billion. Adding NVIDIA's net cash position of \$26.4 billion gives an equity value of \$4,936.0 billion, which divided by 24.4 billion shares outstanding implies a stock price of \$202.30. Weighting this at 50% against the Wall Street analyst consensus 12-month target of \$268.07, representing the average of 57 analysts with a 90% or higher BUY rating (Investing.com, 2026), gives a blended price target of \$235.19, implying 33.2% upside from the current price of \$176.70

NVIDIA Financial Summary			
Metric	FY2024	FY2025	FY2026
Revenue	\$60.9B	\$130.5B	\$215.9B
Gross Profit	\$44.3B	\$95.5B	\$153.5B
EBITDA	\$35.2B	\$84.4B	\$133.2B
Net Income	\$29.8B	\$72.9B	\$113.0B
Gross Margin	72.70%	73.20%	71.10%
EBITDA Margin	57.80%	65.00%	61.70%
Net Margin	48.90%	55.90%	52.30%

NVIDIA Capital Structure			
Metric	FY2024	FY2025	FY2026
Total Debt	\$8.5B	\$8.5B	\$8.5B
Total Equity	\$43B	\$58.2B	\$65.7B
Debt / Equity	0.20x	0.15x	0.13x
Debt / Value	16.5%	12.7%	11.5%
Net Cash	\$7.6B	\$15.5B	\$26.4B

Non-Peer Exclusions

Intel (NASDAQ: INTC) was considered but excluded. While Intel has tried to compete in AI accelerators through its Gaudi product line, its main business focuses on traditional computer processors, where it has lost significant market share in recent years and generated near break-even profit margins in FY2024 and FY2025 (Yahoo Finance, 2026). Its financials and business model are too different from NVIDIA's to make a meaningful comparison.

Microchip Technology (NASDAQ: MCHP) was also excluded. Microchip makes chips for industrial equipment and everyday electronics, with no meaningful involvement in AI computing. Its products, customers, and financial profile are too different from NVIDIA's to serve as a relevant comparison (Yahoo Finance, 2026).

Implied Price Calculations		
	Weight	Price
Growth-adjusted EV/EBITDA (31.675x)	50%	\$202.30
Analyst Consensus	50%	\$268.07
Blended Target		\$235.19
Current Price		\$176.70
Implied Upside		33.2%

Other Relevant Factors

NVIDIA's next-generation Vera Rubin architecture, announced at its annual technology conference in 2026, is expected to extend its hardware performance lead and maintain the annual product cadence that has historically prevented competitors from closing the gap. The current Blackwell GB200 already delivers a 30x improvement in AI inference throughput over the prior H100 generation, reinforcing NVIDIA's position as the leading platform for AI computing (NVIDIA, 2026). On the ESG side, Blackwell uses 6x less energy per AI task compared to H100, which is increasingly relevant as governments and large companies face growing pressure to reduce the environmental impact of data centers. NVIDIA has also made energy efficiency a core design requirement across its GPU roadmap, aligning with the sustainability commitments of its largest hyperscaler customers. Sovereign AI demand from governments in Europe, the Middle East, and Southeast Asia building national AI infrastructure represents a growing and diversified revenue source that reduces NVIDIA's reliance on any single market, partially offsetting the impact of China export restrictions.

Recommendation

This report recommends a BUY rating for NVIDIA Corporation with a 12-month price target of \$235.19, representing 33.2% upside from the current price of \$176.70 as at April 5, 2026. NVIDIA's dominant market position, CUDA software moat, and sustained hyperscaler AI investment support this view. Key risks include further export restrictions, a slowdown in hyperscaler spending, and margin pressure during product transitions.

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